policies and procedures to comply with the final amendments will be, on average, $17,950 per year per transfer agent.[1027]

The final amendments extend the disposal rule to transfer agents registered with a regulatory agency other than the Commission.[1028] The amendments require these transfer agents to properly dispose of customer information by taking reasonable measures to protect against unauthorized access to or use of the information in connection with its disposal.[1029] Because these transfer agents are subject to regulatory requirements and to state laws which require proper disposal of customer information,[1030] we expect that they are likely to already have procedures in place for the disposal of customer information. Therefore, to the extent that transfer agents already have in place procedures that are consistent with these provisions of the final amendments, the benefits and costs relating to this requirement will be reduced for these institutions and for the customers whose information is covered by this requirement. Hence, we expect the costs of this requirement to be limited and to consist mostly of reviewing and updating existing policies and procedures to ensure consistency with the safeguards rule.[1031] As discussed below, we estimate that certain costs associated with developing and implementing policies and

---

1027 This estimate is an annual average for the first three years. The corresponding ongoing annual costs beyond the first three years are estimated to be on average $5,425 per year per transfer agent. *See infra* section V. As discussed above, these estimates reflect all of the policies and procedures required by the final amendments, including those regarding the incident response program. *See supra* footnote 1003 and accompanying text.

1028 Transfer agents registered with the Commission were already subject to the disposal rule before this adoption. *See* 17 CFR 248.30(b).

1029 *See* 17 CFR 248.30(b).

1030 The Banking Agencies' Safeguards Guidance requires that a covered entity's information security program be designed to ensure the proper disposal of customer information and consumer information. *See supra* footnote 612 and accompanying text; *see also supra* section IV.C.2.b for a discussion of state law disposal requirements.

1031 We expect these reviews and updates will result in the entities incurring costs generally smaller than the costs of adopting and implementing new policies and procedures, as discussed in section V.

procedures to comply with the final amendments will be, on average, $17,950 per year per transfer agent.[1032]

3. Recordkeeping

The recordkeeping provisions of the final amendments require covered institutions (other than funding portals) to make and maintain written records documenting compliance with the requirements of the safeguards rule and of the disposal rule.[1033] Each covered institution (other than funding portals) is required to make and maintain written records documenting its compliance with, among other things: its written policies and procedures required under the final amendments, including those relating to its service providers and its consumer information and customer information disposal practices; its assessments of the nature and scope of any incidents involving unauthorized access to or use of customer information; any notifications of such incidents received from service providers; steps taken to contain and control such incidents; and, where applicable, any investigations into the facts and circumstances of an incident involving sensitive customer information, and the basis for determining that sensitive customer information has not been, and is not reasonably likely to be, used in a manner that would result in substantial harm or inconvenience.[1034]

These recordkeeping requirements will help facilitate the Commission's inspection and enforcement capabilities. Covered institutions may react to this enhanced ability of the

---

[1032] This estimate is an annual average for the first three years. The corresponding ongoing annual costs beyond the first three years are estimated to be on average $5,425 per year per transfer agent. *See infra* section V. As discussed above, these estimates reflect all of the policies and procedures required by the final amendments, including those regarding the incident response program. *See supra* footnote 1003 and accompanying text.

[1033] *See* final rule 248.30(c). As discussed above, funding portals have recordkeeping requirements that are different from those of other covered institutions under the final amendments. *See supra* footnote 385.

[1034] *See* the various provisions of final rule 248.30(a) and 248.30(b)(2).

Commission staff to detect deficiencies and impose sanctions against non-compliance due to the recordkeeping requirements by taking more care to comply with the substance of the amendments, which may result in material improvement in the response capabilities of covered institutions and mitigate potential harm resulting from the lack of an adequate response program. As such, the amendments' recordkeeping requirements might benefit customers through channels described in section IV.D.1.

One commenter supported the proposed recordkeeping requirements.[1035] Another commenter requested a clarification of the proposed requirements, suggesting that the text in the final amendments include more detail.[1036] In response to this commenter, we have provided a more detailed description of the requirements in the rule text of the final amendments.[1037] We expect that this change will mitigate compliance costs for covered institutions.

We do not expect the final recordkeeping requirements to impose substantial compliance costs. As covered institutions are currently subject to similar recordkeeping requirements applicable to other required policies and procedures, we do not anticipate that covered institutions will need to invest in new recordkeeping staff, systems, or procedures to satisfy the new recordkeeping requirements.[1038] The incremental administrative costs arising from maintaining additional records related to these provisions using existing systems are covered in

---

1035 *See* ICI Comment Letter 1.

1036 *See* IAA Comment Letter 1.

1037 *See supra* section II.C and final rule 240.30(d)(1).

1038 *See, e.g.*, 17 CFR 240.17a-3; 17 CFR 275.204-2; 17 CFR 270.31a-1; and 17 CFR 240.17Ad-7. Where permitted, entities may choose to use third-party providers in meeting their recordkeeping obligations. *See*, *e.g.*, 17 CFR 275.204-2(e)(2).

the Paperwork Reduction Act analysis in section V and are estimated to be $420 per year per covered institution other than funding portals, and $630 per year per funding portal.[1039]

4. Exception from Annual Notice Delivery Requirement

The final amendments incorporate into the regulation an existing statutory exception to the requirement that a broker-dealer, investment company, or registered investment adviser deliver an annual privacy notice to its customers.[1040] An institution may rely on the exception to forgo notice if it has not changed its policies and practices with regard to disclosing nonpublic personal information from those it most recently provided to the customer via privacy notice.[1041] The effect of the exception is to eliminate the requirement to send the same privacy policy notice to customers on multiple occasions. As such notices would provide no new information, receiving multiple copies of such notices is unlikely to provide any significant benefit to customers. Moreover, we expect that widespread reliance on the proposed exception is more likely to benefit customers, by providing clearer signals of when privacy policies have changed.[1042] At the same time, reliance on the exception will reduce costs for covered institutions. However, we expect these cost savings to be limited to the administrative burdens discussed in section V.[1043] We received one comment supporting the proposed exception.[1044] We

---

1039 *See infra* section V. As discussed above, funding portals have recordkeeping requirements that are different from those of other types of covered institutions. *See supra* footnote 385.

1040 *See supra* section II.D; *see also* 15 U.S.C. 6803(f). Additionally, under existing statutory exceptions notice is not required when the institution provides certain information to a third party to perform services for or functions on behalf of the institution, such as information sharing necessary to perform transactions on behalf of the customer, information sharing directed by the customer, or reporting to credit reporting agencies. *See* 15 U.S.C. 6802(e).

1041 *See* final rule 248.5(e)(1)(ii).

1042 In other words, reducing the number of privacy notices with no new content allows customers to devote more attention to parsing notices that do contain new content.

1043 *See infra* footnote 1119.

1044 *See* ICI Comment Letter 1.

did not receive any comments suggesting alternatives to the proposed exception or suggesting that we not proceed with it.

Because the exception became effective when the statute was enacted, the aforementioned benefits are likely to have already been realized. Consequently, we do not expect that its inclusion will have any economic effects relative to the current status quo.

E. Effects on Efficiency, Competition, and Capital Formation

As discussed above, market imperfections might lead to underinvestment in customer information safeguards, and to information asymmetry about incidents resulting in unauthorized access to or use of customer information.[1045] This information asymmetry might prevent customers whose sensitive information was compromised from taking timely mitigating actions. The final amendments aim to mitigate the inefficiency resulting from these imperfections by imposing mandates for policies and procedures. Specifically, the amendments require covered institutions to include a response program for incidents involving unauthorized access to or use of customer information. This response program must address assessment and containment of such incidents, and might thereby reduce potential underinvestment in these areas, improving customer information safeguards as a result.[1046] In addition, by requiring notification to customers about certain safeguard failures, the amendments could reduce the aforementioned information asymmetry and help customers choose a covered institution that meets their needs or preferences. The notification requirement, by imposing reputational costs on institutions whose safeguards of customer information fail, might also provide covered institutions with greater

---

[1045] *See supra* section IV.B.

[1046] *See supra* section IV.D (discussing the benefits and costs of the response program requirements).

incentives to improve their safeguards, contributing to lowering the probability of a breach even further.

While the amendments have the potential to mitigate these inefficiencies, the scale of the overall effect is difficult to estimate. Due to the presence of existing regulations, including state notification laws, and existing security practices,[1047] these inefficiencies are likely to be of limited magnitude. However, to the extent that they remain, the amendments might contribute to reduce them.[1048] Insofar as the proposed amendments alter covered institutions' practices, the improvement—in terms of the effectiveness of covered institutions' response to incidents, customers' ability to respond to breaches of their sensitive customer information, and in reduced information asymmetry about covered institutions' efforts to safeguard this information—is impracticable to quantify due to data limitations discussed previously.[1049]

The final provisions will not have first order effects on channels typically associated with capital formation (e.g., taxation policy, financial innovation, capital controls, investor disclosure, market integrity, intellectual property, rule-of-law, and diversification). Thus, the final amendments are unlikely to lead to significant effects on capital formation.[1050]

Because the amendments are likely to impose proportionately larger direct and indirect costs on smaller and more geographically limited covered institutions, these institutions' competitiveness vis-à-vis their larger peers might be affected. Such covered institutions—which

---

1047 *See supra* sections IV.C.1 and IV.C.2.

1048 Section IV.D.1.b discusses in detail how the amendments' requirements differ from existing state notification laws.

1049 *See, e.g.*, *supra* sections IV.A. and IV.D.1.

1050 While we do not expect first-order effects on capital formation, we agree with one commenter who stated that the amendments would contribute to promote transparency and consistency on capital markets, which would benefit investors, issuers, and other market participants. *See* Nasdaq Comment Letter. In addition, as discussed below, there might be incremental effects on the capital formation associated with issuers relying on funding portals. *See infra* text accompanying footnote 1053.

may be less likely to have written policies and procedures for incident response programs already in place—will face disproportionately higher costs resulting from the proposed amendments.[1051] Thus, the amendments might have negative effects on competition, to the extent these higher costs represent a barrier to entry or limit smaller institutions' viability as a competitive alternative to larger institutions. However, given the considerable competitive challenges arising from economies of scale and scope already faced by smaller firms, we do not anticipate that the costs associated with this adoption will significantly alter these challenges and therefore expect the incremental effects of these amendments on competition to be limited.

On the other hand, the amendments may have positive competitive effects also. Because safeguarding customer information, including through cybersecurity, is disproportionately more expensive for smaller institutions,[1052] customers today may already suspect that smaller institutions have more severe under-investments in cybersecurity than larger institutions and may therefore avoid smaller institutions. If disproportionately large costs faced by smaller institutions cause existing and potential customers to suspect that these institutions are more likely to avoid such costs, the existing information asymmetry may be greater for these institutions. Smaller institutions may be unable to overcome these suspicions on their own absent regulatory policy, and so asymmetries of information may represent a barrier to entry for smaller institutions. In this case, if the amendments result in customers having better information on the covered institutions' efforts towards protecting customer information, there will be a positive effect on

---

1051 The development of policies and procedures entails a fixed cost component that imposes a proportionately larger burden on smaller firms. We expect smaller broker-dealers and investment advisers will be most affected. *See supra* sections IV.C.3.a and IV.C.3.c.

1052 *See, e.g.*, Anna Cartwright et al., *Cascading Information On Best Practice: Cyber Security Risk Management in UK Micro and Small Businesses and the Role of IT Companies*, COMPUTERS & SECURITY 131 (2023) for a list of articles discussing the cybersecurity challenges faced by small businesses.

competition. Hence, the overall effect on smaller and more geographically limited covered institutions' competitiveness remains difficult to predict.

With respect to funding portals, the situation could be different. As discussed above, the final amendments are likely to impose proportionately larger costs on smaller covered institutions,[1053] including smaller funding portals. At the margin, it is possible that the final amendments will result in a smaller number of funding portals, which could result in a smaller number of crowdfunding intermediaries available to potential issuers. Crowdfunding intermediaries facilitate capital raising by smaller issuers relying upon Regulation Crowdfunding to offer or sell securities. To the extent that the final amendments result in a decrease in the availability of funding portals or in an increase in the costs of utilizing crowdfunding intermediaries for issuers or investors, they may have incremental negative effects on capital formation associated with issuers relying on such intermediaries. However, we expect the incremental negative effect on competition that could result from this to be mitigated by the already significant degree of concentration among crowdfunding intermediaries observed today.[1054] We further expect these effects to be mitigated to the extent that issuers may be able to switch to using other intermediaries for their Regulation Crowdfunding offerings, such as larger funding portals. Lastly, the amendments may have a positive effect on capital formation in offerings under Regulation Crowdfunding to the extent that the additional procedural requirements in the final amendments increase protection of customer information and thereby attract additional potential investors. Hence, the overall effect remains difficult to predict.

1053 *See supra* footnote 1051.

1054 *See supra* section IV.C.3.b.

Two commenters raised concerns about barriers to entry disproportionately affecting smaller covered institutions. One commenter stated that smaller advisers had been significantly affected by "one-size-fits-all" regulations that effectively require substantial fixed investments in infrastructure, personnel, technology, and operations, adding that they were concerned that these stressors and barriers would negatively affect smaller advisers' ability to continue to serve their clients.[1055] Another commenter stated that we had done "little analysis" about the impact of recent proposals on small broker-dealers, competition within the brokerage industry, and whether the proposals could contribute to barriers for new entrants into the markets.[1056] We acknowledge these commenters' concerns about smaller covered institutions and, as discussed above, understand that smaller covered institutions might be disproportionately affected by the final amendments.[1057] In response to these concerns, we have changed the final amendments from the proposal. We expect that some of these changes may mitigate costs and may reduce, but not eliminate, the degree to which the final amendments act as a barrier to entry.[1058] We have also responded to commenters' concerns by adopting longer compliance periods for all covered institutions relative to the proposal and an even longer compliance period for smaller covered

---

1055 *See* IAA Comment Letter 1.

1056 *See* ASA Comment Letter. In the Proposing Release, we discussed that the compliance costs of the proposed amendments could be higher for smaller covered institutions such as small broker-dealers who do not have a national presence. *See* Proposing Release at section III.D.1.a. We also discussed the potential negative competitive effects of the proposed amendments on smaller covered institutions and requested comments on the way we characterized the effects on competition. *See* Proposing Release at sections III.F. and III.G. We received no comment letter discussing specifically how the proposed amendments would affect the level of competition in the different markets in which covered institutions operate.

1057 *See supra* footnote 1051 and accompanying text.

1058 These changes include (1) requiring that a service provider notify the affected covered institution of a breach in a period of 72 hours instead of 48 hours; and (2) requiring that covered institutions oversee, monitor, and conduct due diligence on their service providers to ensure that they take appropriate measures to protect customer information and notify the covered institution in case of breach instead of requiring written contracts. *See supra* section IV.D.1.c on the expected effects of these changes. Because smaller covered institutions are more likely to have limited bargaining power when negotiating with their service providers, we expect that these changes may particularly reduce the burdens on those entities and may reduce, but will not eliminate, the extent to which these requirements act as a barrier to entry.

institutions.[1059] The final amendments provide 24 months for smaller covered institutions to comply with the final amendments after the date of publication in the Federal Register, compared to 18 months for larger covered institutions.[1060] Since smaller covered institutions are those most likely to exit the market in response to high compliance costs, this longer compliance period will mitigate the negative effect of the final amendments on competition, for example by giving smaller covered institutions opportunities to learn about compliance with the final requirements from larger covered institutions' earlier compliance.[1061]

With respect to competition among transfer agents, the situation could be different. Because transfer agents registered with a regulatory agency other than the Commission may already have been required to notify customers in case of breach,[1062] whereas the transfer agents registered with the Commission may, before this adoption, have only been required, by state law, to notify the security issuer, the latter group may face disproportionately high compliance costs compared to the former group since they might have to design and implement new policies and procedures, including the required incident response program and notification procedures.[1063] This might affect their competitiveness vis-à-vis the transfer agents registered with a regulatory agency other than the Commission.[1064] Because transfer agents registered with the Commission

---

1059 The proposed compliance period was 12 months from effective date for all covered institutions. *See* Proposing Release at section II.I.

1060 *See supra* Table 3 for a description of small covered institutions for the purposes of the final amendments' tiered compliance period.

1061 *See* FSI Comment Letter ("We propose a longer implementation period for smaller broker-dealers and investments advisers to allow these firms to benefit from implementation for larger industry participants.").

1062 *See supra* section IV.C.2.b.

1063 In 2023, there were 251 transfer agents registered with the Commission and 64 transfer agents registered with another appropriate regulatory agency. *See supra* section IV.C.3.e.

1064 In addition, because designing and implementing new policies and procedures entails fixed costs, competition among transfer agents registered with the Commission may be affected. *See supra* discussion of potential competition effects on covered institutions of different sizes.